



MARKET MONITOR

No. 66 – March 2019

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Easing trade tensions provided some support mostly to maize and soybean markets in February. Given that export availabilities remain generally adequate for all four crops, any significant divergence from recent trends would most likely be driven by developments in outside markets, policies, or sudden changes to supply and demand prospects. In this connection, the preliminary outlook for wheat markets already points to a strong production recovery in 2019/20, which should help replenish inventories, especially those held by major exporters.

Markets at a glance

	From previous forecast	From previous season
Wheat	▼	▼
Maize	▼	▼
Rice	■	▲
Soybeans	▼	▲

▲ Easing ■ Neutral ▼ Tightening

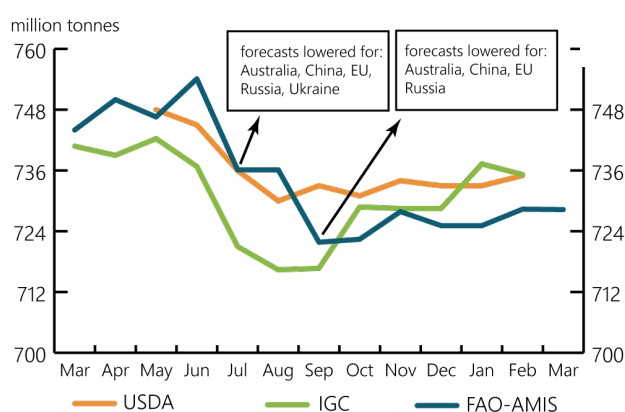
The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by ten international organizations and entities that form the AMIS Secretariat.

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Early forecasts point to a strong recovery in global wheat production in 2019

FAO is publishing its first production forecasts for 2019 wheat crops in the March issue of Crop Prospects and Food Situation¹. With AMIS hosted at FAO and sharing a common platform, these forecasts are a joint effort and their source is referred to as 'FAO-AMIS'. While providing a detailed analysis of regional outlooks for cereals, the March report also foresees global wheat production to strongly recover from last year, rising by 4.0 percent, to 757.4 million tonnes in 2019. This would be close to the record crop of 2017, with the bulk of the recovery stemming from Europe. In the EU, a larger planted area combined with generally good weather (so far) is seen to drive up wheat production by at least 8 percent from last year's six-year low. Similarly, in the Russian Federation, an expectation of increased overall plantings in combination with beneficial weather could push up production by almost 10 percent. Favourable crop conditions also currently prevail in Ukraine, where this year's wheat output is forecast to rise by nearly 8 percent. In North America, this year's production in the United States is likely to remain close to last year's level, whereas in Canada it could increase by around 4 percent. In Australia, a strong rebound from last year's drought afflicted level is foreseen, though wheat planting will only begin in May. Elsewhere, the 2019 output in India could arrive close to last year's record level while a contraction is predicted for Pakistan.

World wheat monthly production forecasts by source for 2018 crop



But are we again too optimistic?

This time last year, FAO-AMIS published its first global production forecast for 2018 wheat. How good was it? Reflecting on those forecasts and comparing them with early predictions by the other two major sources (namely USDA and IGC), FAO-AMIS projections didn't fare so badly, but all were too optimistic. As shown in the graph, forecasts from all three sources followed a rather similar trend and, as one would have expected, started to converge in later months as countries' production estimates became firmer. Notwithstanding this development, some differences in these forecasts still prevail. A lower estimate of China's wheat production is among the main reasons why the FAO-AMIS global production estimate for 2018 remains lower than the other two sources. As was highlighted in previous reports, FAO-AMIS is undertaking a major review of China's cereal balances following recent official historical revisions, which show much higher-than-previously reported estimates for wheat, maize and rice production over 2007-2017. The impact of these revisions on China's supply and demand balances are being evaluated by AMIS, with a view to publish the results in the coming months.

Wheat Production: leading producers

	Average 5 years	2018 estim.	2019 fcast
<i>million tonnes</i>			
EU	150.3	137.5	149.0
China (Mainland)	129.2	128.0	129.0
India	94.6	99.7	99.0
United States	54.6	51.3	52.0
Russian Federation	70.5	72.1	79.0
Australia	23.3	17.3	24.0
Canada	30.2	31.8	33.0
Pakistan	25.8	25.5	24.5
Turkey	20.7	20.0	21.0
Ukraine	25.5	24.6	26.5
Kazakhstan	14.1	13.9	14.5
Iran Islamic Rep. of	11.8	13.4	13.4
Argentina	16.3	19.5	19.0
Egypt	9.2	8.8	9.0
Uzbekistan	6.6	6.0	6.5
Others	59.6	59.0	58.0
World	742.3	728.3	757.4

¹ See Crop Prospects and Food Situation – No.1, 03 at <http://www.fao.org/giews/reports/crop-prospects/>

World supply-demand outlook

World Balances, with and without China*

					In million tonnes			
• Wheat production in 2018 down 4.1 percent from the 2017 record and slightly lower m/m, with reduced estimates in Kazakhstan offsetting higher estimates for Argentina and Australia. • Utilization in 2018/19 lowered slightly m/m largely on downgrading of feed estimates for Canada and the US. • Trade forecast for 2018/19 (July/June) trimmed, reflecting lower-than-earlier anticipated purchases by several countries. • Stocks (ending in 2019) declining by 3.9 percent, with the latest forecast reflecting bigger drawdowns in several Asian countries and downward adjustments to inventory levels in Argentina (starting from 2014/15).		FAO-AMIS			USDA		IGC	
		2017/18 <i>est.</i>	2018/19 <i>f'cast</i>		2017/18 <i>est.</i>	2018/19 <i>f'cast</i>	2017/18 <i>est.</i>	2018/19 <i>f'cast</i>
			7-Feb	7-Mar		8-Feb		22-Feb
	Production	759.4	728.4	728.3	763.2	734.8	763.6	735.2
		626.4	600.4	600.3	628.9	603.3	629.3	603.7
	Supply	1,014.0	1,005.7	1,003.6	1,024.2	1,014.8	1,012.0	1,005.8
		792.1	772.6	770.6	775.0	752.1	776.9	760.2
	Utilization	737.8	742.6	741.8	744.2	747.2	741.3	743.6
		617.2	621.9	621.1	623.2	622.2	617.9	615.8
	Trade	176.9	171.8	171.0	181.2	178.7	175.2	170.1
	173.0	168.2	167.9	176.2	174.0	171.4	165.9	
	Stocks	275.3	266.9	264.7	280.0	267.5	270.7	262.3
		170.3	151.1	149.4	148.8	127.5	155.3	140.3
• Maize 2018 production curtailed, with reduced yields in the US and lower crop prospects in South Africa. more than offsetting an upward revision in Ukraine. • Utilization in 2018/19 reduced, though still up 3.6 percent from 2017/18, in anticipation of slower growth in feed use in the US. • Trade forecast for 2018/19 (July/June) lifted by 1.1 million m/m, underpinned by higher shipments from the Ukraine. • Stocks (ending in 2019) falling even more significantly than earlier projected, with larger drawdowns in several southern hemisphere countries and the US.		2017/18	2018/19		2017/18	2018/19	2017/18	2018/19
	Production	1,094.0	1,080.5	1,074.4	1,075.6	1,099.6	1,089.6	1,109.0
		878.1	864.0	857.9	816.5	842.3	830.6	851.7
	Supply	1,394.0	1,393.3	1,381.8	1,425.9	1,440.4	1,453.6	1,444.9
		1,020.0	1,029.9	1,018.5	943.8	960.6	958.6	966.9
	Utilization	1,073.0	1,114.0	1,111.7	1,085.1	1,130.6	1,117.8	1,147.4
		842.4	869.4	867.1	822.1	853.6	839.8	858.8
	Trade	155.4	158.9	160.0	146.3	167.4	151.9	160.2
		151.0	155.3	156.5	142.8	162.3	148.2	155.7
	Stocks	307.5	274.7	267.0	340.8	309.8	335.8	297.4
	160.6	153.0	145.3	118.3	102.0	115.1	103.5	
• Rice production forecast for 2018 lifted, principally because of upward revisions to historical production estimates for Nigeria. • Utilization in 2018/19 expected to increase by 0.9 percent, bolstered by rising food use. • Trade in 2019 adjusted down marginally m/m, reflecting lower expected export availabilities in various South American suppliers. • Stocks (2018/19 carry-out) set to expand by 3.0 percent to a record level, led by accumulations in India and China and despite expectations of cuts in various African countries, in particular Egypt.		2017/18	2018/19		2017/18	2018/19	2017/18	2018/19
	Production	506.8	514.1	514.9	495.1	495.9	494.0	494.8
		363.9	371.7	372.4	346.2	347.4	345.1	346.3
	Supply	675.2	686.7	687.4	644.8	657.9	636.0	644.8
		433.5	441.2	441.9	397.4	400.4	403.3	405.8
	Utilization	504.7	509.2	509.3	482.7	490.3	486.1	491.5
		361.6	365.5	365.7	340.2	346.5	341.8	346.5
	Trade	48.1	47.3	47.1	47.7	47.7	46.7	47.3
		43.3	42.5	42.5	40.8	41.0	42.2	42.8
	Stocks	172.5	177.5	177.6	162.0	167.6	150.0	153.2
	69.5	72.5	73.5	53.0	51.6	57.1	54.7	
• Soybeans 2018/19 production trimmed on lower forecasts for Brazil and downward corrections in the US. • Utilization in 2018/19 adjusted downward, mainly reflecting reduced forecasts in China. Global consumption now anticipated to grow by less than 1 percent. • Trade forecasts for 2018/19 lowered somewhat, now pointing to a contraction, underpinned by subdued demand in China. • Stocks (2018/19 carry-out) revised downward on lower forecasts for the US, though, global inventories are still expected to expand sharply.		2017/18	2018/19		2017/18	2018/19	2017/18	2018/19
	Production	341.7	364.3	361.5	340.0	361.0	340.7	358.4
		326.4	348.3	345.5	324.8	345.1	325.4	342.4
	Supply	398.7	405.1	402.6	435.8	459.1	389.8	401.8
		368.7	375.7	373.2	399.9	419.7	355.2	367.9
	Utilization	349.7	354.8	353.0	338.2	349.4	346.1	352.5
		239.1	246.0	245.7	231.9	243.3	237.5	247.3
	Trade	153.6	154.0	151.5	153.0	154.4	152.7	153.0
		59.6	64.3	63.5	58.8	66.3	60.7	65.5
	Stocks	41.1	53.7	52.3	98.1	106.7	43.4	48.9
	27.7	43.7	42.3	74.6	85.5	25.3	32.7	



World Balances

* Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China.

To review and compare data, by country and commodity, across three main sources, go to <http://statistics.amis-outlook.org/data/index.html#COMPARE>

Estimates and forecasts may differ across sources for many reasons, including different methodologies. For more information see Explanatory notes on the last page of this report.

Summary of revisions to FAO-AMIS monthly forecasts for 2018/19

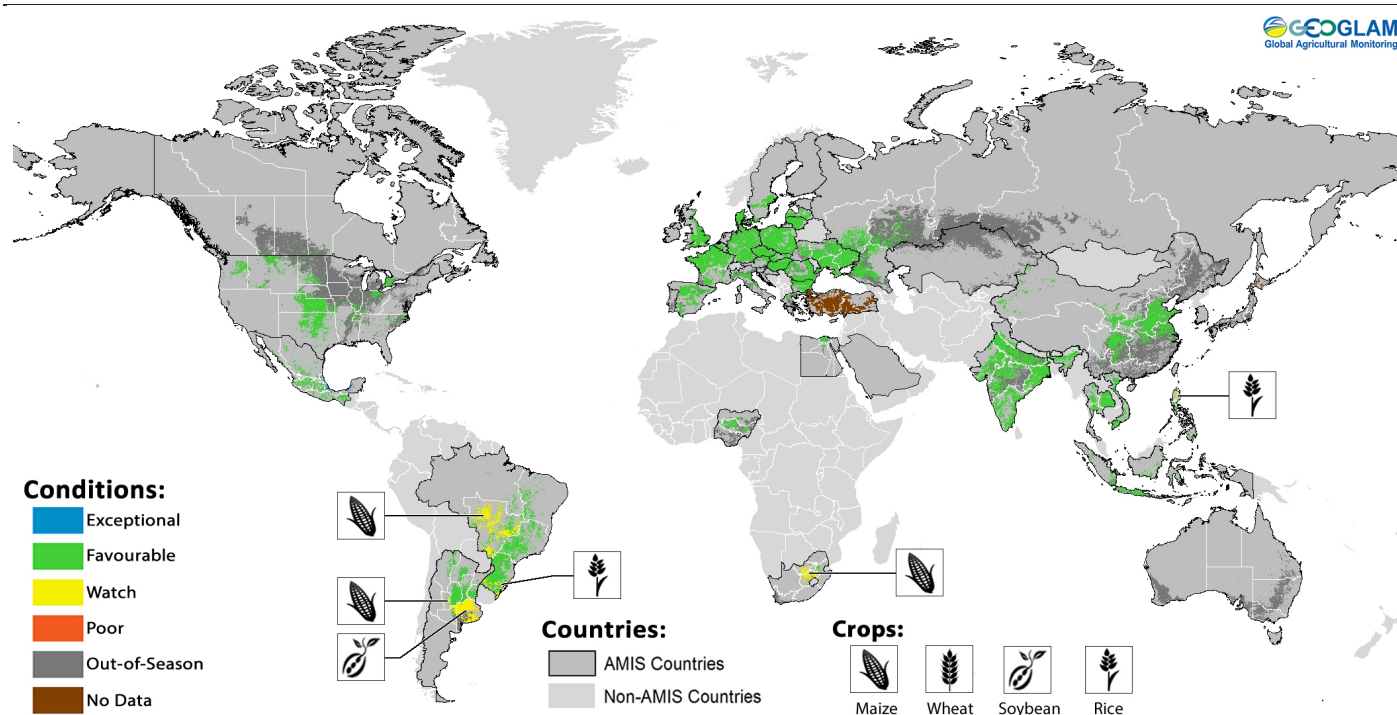
in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-82	-826	-879	-847	-2218	-6115	1125	-2311	1125	-7733
Total AMIS	-495	-746	-886	-608	-1656	-6557	800	-2654	1120	-3158
Argentina	200	-	-47	-	-1419	-	-	-	-200	-
Australia	342	-	342	-	-	-	-	-	-	-
Brazil	-	-	50	200	-	-	-	1000	200	-
Canada	-	-	146	-	-200	-	-	-	-	-
China Mainland	-	-500	-	-	-500	-	-	-	-	-
Egypt	-	-	-	-	-	-	-	-	-	-
EU	-	-	-	-	-	-	500	500	-	-
India	-	-30	-20	-	-	-	-	-1000	400	793
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-1053	-	-	-500	-553	12	-	12	-	-
Mexico	-20	-	-47	-278	-	-693	-	-193	-500	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-216	-330	-	-	-	-	-	-	-
Russian Fed.	-	-	-	-	-	-	-	-	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-1015	-	885	-	-1900
Thailand	-	-	-	-	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	36	-	-	-	36	369	-	200	1000	-831
US	-	-	-980	-30	980	-5230	-	-4192	-	-1165
Viet Nam	-	-	-	-	-	-	300	134	220	-54

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	768	-261	38	-200	131	-2805	-2225	-1791	-2460	-1455
Total AMIS	856	-	369	-190	102	-2605	-1775	-1586	-2460	-1230
Argentina	-	-	2	-60	15	500	-600	-300	-100	-
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-	50	-246	-130	-	-2156	100	-600	-1800	-206
Canada	-	-	-	-	-	-	250	100	-	150
China Mainland	-	-150	-150	-	-	-	-1500	-1500	-	-
Egypt	-	-	-	-	-	-	-	-	-	-
EU	-14	-	-76	-	-	-	-	17	37	-54
India	-	-	-	-	-	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-18	-	-3	-	-15	-	-	-	-	-
Mexico	-	-	-	-	-	-170	-	-70	-	-200
Nigeria	722	-200	672	-	-50	-	-	-	-	-
Philippines	-73	300	77	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	50	-	-	-	50	324	-	171	-	324
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	27	-	10	-	-	33	27	-67
Thailand	-	-	-	-	-	7	-	12	-	-5
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	1	-	1	-	-	410	-	204	176	30
US	188	-	64	-	92	-1520	-140	250	-800	-1240
Viet Nam	-	-	-	-	-	-	115	97	-	38

Crop monitor

Crop conditions in AMIS countries (as of 28 February)



Crop condition map synthesizing information for all four AMIS crops as of 28 February. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, winter wheat is primarily in dormancy under favourable conditions.

Maize - In the southern hemisphere, conditions are favourable for Argentina and generally favourable for Brazil with only minor areas of concern due to dry conditions earlier in the season. Conditions are mixed in South Africa.

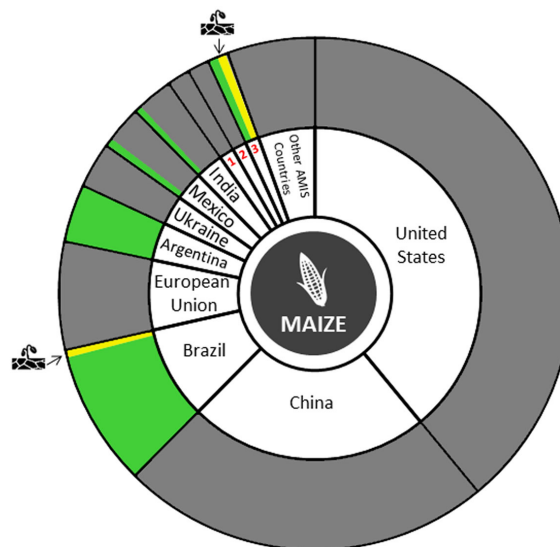
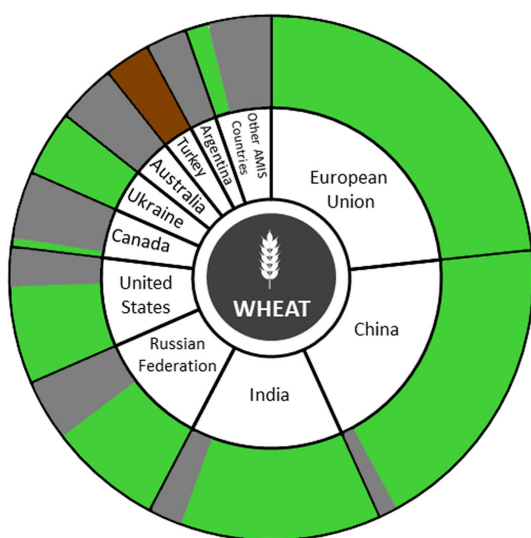
Rice - In India, Rabi rice transplanting is advancing faster than usual. In Southeast Asia, conditions are generally favourable in the northern countries for dry-season rice, while wet-season rice is advancing favourably in Indonesia.

Soybeans - In the southern hemisphere, conditions are favourable in Brazil and generally favourable in Argentina where there has been an early frost potentially affecting crops in the south.

El Niño advisory

Weak-to-moderate El Niño-Southern Oscillation (ENSO) conditions are now present in the central Pacific. These conditions are forecast to continue through the Northern Hemisphere spring (55 percent chance for March to May). There is around a 50 percent chance for El Niño to persist into summer.

Major global impacts are not expected because of the weak strength of this El Niño, but some areas may still see El Niño-related impacts in March to May 2019. Associated with this event are increased chances of above-normal rainfall in the southeastern US and in parts of central Asia and southeastern South America. There are increased chances of below normal rainfall in the Philippines and other parts of Southeast Asia, in northern Australia, and in eastern Southern Africa.

Conditions:**Drivers:**Canada¹, Russian Federation², South Africa³**Wheat**

In the **EU**, winter wheat conditions are favourable with only minor frost damage. In **Ukraine**, winter wheat conditions are favourable with no winterkill reported to date. The crop is still mostly dormant with the exception of southern and western regions where the crop is resuming vegetative growth. In the **Russian Federation**, conditions are favourable with the majority of the crop still in dormancy. Warmer than average temperatures this winter helped to avoid incidents of winterkill. In **China**, conditions are favourable for winter wheat still in dormancy. In **India**, sowing is complete and crop conditions are favourable owing to adequate rainfall and mild temperatures. In the **US**, winter wheat conditions are favourable. Total sown area is down from last year and the lowest since records have been kept, continuing a long-term decreasing trend since a national high in 1981. In **Canada**, winter wheat conditions are generally favourable for the dormant crop. However, the combination of extreme cold temperatures and little snow cover in the southern Prairies could increase the incidence of winterkill.

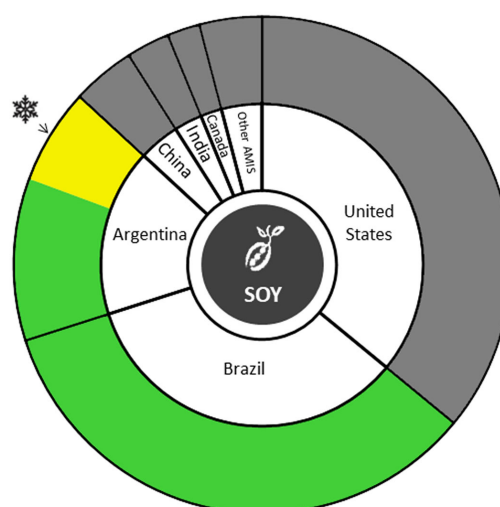
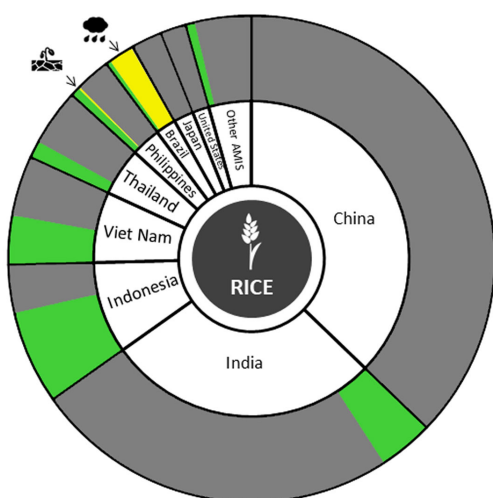
Maize

In **Brazil**, the spring-planted crop is under generally favourable conditions, with some concern in the Center-West (Goiás and Mato Grosso do Sul) due to dry conditions earlier in the season during critical crop development stages. Most of the crop is in the reproductive stages, and harvest has begun in the south. Sowing of the summer-planted crop (higher producing season) is continuing under favourable conditions. In **Argentina**, conditions are generally favourable for the spring-planted and summer-planted crops with some minor concerns over dry conditions in San Luis. In **Mexico**, sowing of the autumn-winter crop is continuing under favourable conditions. In **South Africa**, conditions are mixed with dry conditions in the west experienced earlier in the season resulting in reduced sown area. Widespread rainfall during late January to mid-February is supporting average yields so long as rains continue in the near term. In **India**, the Rabi crop is progressing well under favourable conditions.



Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (95 percent of production) shown individually and the remaining 5 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **India**, conditions are favourable as transplanting of the Rabi rice is almost complete in the southern and eastern parts of the country, and is advanced compared to the same time last year. In **Indonesia**, conditions are favourable as sowing of wet-season rice continues into its fifth month. Harvest of the earlier sown fields continues with yields expected to be close to average owing to sufficient sunlight during the growing season. In **Viet Nam**, sowing of winter-spring rice (dry-season rice) continues in the south and is starting in the north under favourable conditions. Sowing in the north is advancing faster than normal due to warm weather and better irrigation preparation. In **Thailand**, dry-season rice is in the vegetative stages under favourable conditions. A reduction in total sown area is expected compared to last year due to insufficient rainfall and irrigation water, along with incentives to shift away from dry-season rice. In the **Philippines**, dry-season rice is in the vegetative stage under mixed conditions as dry conditions in Northern Luzon has led to a delay in sowing and a deterioration in conditions. In **Brazil**, the South region continues in watch conditions.

Soybeans

In **Brazil**, conditions are generally favourable as the harvest advances in the central-west regions and crops are in the grain filling stage in the south. Despite pockets of dryness that especially affected the states of Mato Grosso do Sul and Paraná earlier in the season, overall yields are estimated to be near average. In **Argentina**, conditions are generally favourable for both the spring-planted and summer-planted crops with earlier sown crops showing better performance than later sown crops due to recent dry conditions. However, an early frost in the last week of February in southern Buenos Aires and La Pampa has potentially negatively affected crops.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 7 March 2019

Policy developments

Wheat

- On 12 February, the **Russian Federation, Kazakhstan** and Iran signed a Memorandum of Understanding on wheat trade cooperation. Among other features, the agreement paves the way for the Russian Federation and Kazakhstan to use Iran's logistical capabilities and transit routes to deliver wheat exports to third countries.

Rice

- On 14 February, the President of **the Philippines** signed the Republic Act No. 11203, replacing decades-long quantitative restrictions on rice imports with tariffs. Import duties stipulated by the Act will be implemented as from 5 March 2019. The Minimum Access Volume is set to revert to 350 000 tonnes down from 805 200 tonnes and will be applicable to non-ASEAN countries, who will face in- and out-of-quota tariffs of 40 percent and 180 percent, respectively. Rice imports from ASEAN countries will not be subject to a tariff quota and will be levied a 35 percent import duty. The Act envisions the imposition of a special rice safeguard duty to protect farmers from sudden or extreme price fluctuations. The role of the National Food Authority is limited to maintaining buffer stocks for calamities and emergencies, solely through domestic rice purchases. A Rice Competitiveness Enhancement Fund, consisting of PHP 10 billion (USD 189 million) annually, is also established to fund various production support interventions, targeting in particular rice farmers who experience farm income reduction or loss as a result of tariffication. Subsequent official statements indicated that the Government would aim to maintain a rice self-sufficiency level of 93 percent.
- For the crop year 2018/19, **Thailand** approved an additional THB 5 billion (around USD 160 million) in assistance for rice farmers, on top of the THB 56 billion (USD 1.78 billion) that was previously approved by the government.
- Thailand** will allocate THB 17.4 billion (USD 556 million) to implement a rice Insurance Scheme as of 1 April 2019 that will cover six types of disasters (floods, droughts, storms, cold, hails and fires). The scheme will cover about 30 million rai (480 000 hectares), with a premium fixed at THB 85 per rai (USD 17 per ha) of which the government would pay THB 51 per rai (USD 10 per ha) and farmers would pay THB 34 per rai (USD 7 per ha).

Biofuels

- On 29 January, the **EU** Commission issued Implementing Decision No. 2019/142 recognizing that biofuel and bioliquids produced in accordance with the US Soybean Sustainability

Assurance Protocol comply with the standards laid out in the EU Renewable Energy Directive until 1 July 2021. EU transparency and sustainability requirements include criteria relating to emissions from carbon stock changes caused by land-use change, exclusion of land with high biodiversity value and measures to mitigate land-use change.

Across the board

- In February, **China's** State Council released its First Policy Statement. In 2019, China will continue to reform its agriculture sector while improving farm incomes and living standards in rural areas. The document outlines the contours of a new farm subsidy scheme and plans to strengthen the monitoring of outbreaks of African Swine Fever.
- On 28 February, the WTO circulated the panel report in the case brought by the **US** in "China — Domestic Support for Agricultural Producers" (DS511). In its ruling, the panel found China to be in breach of its domestic support commitments relating to market price support for wheat and rice during the period 2012-2015. In the next few weeks, the parties may still decide to take recourse to the available appeal procedures with respect to any of the panel findings.
- A wide-ranging Economic Partnership Agreement between **Japan** and the **EU** entered into force on 1 February. Market access conditions (both tariffs and non-tariff measures) are set to improve substantially. In agriculture alone, geographical indications will be mutually recognized while tariffs will be eliminated on nearly all bilateral trade, except for (a) a few sensitive items, where Japan's tariffs will be either gradually reduced or be subject to tariff-rate quotas, and (b) rice, which is exempted from tariff reduction.

Stop Press

- On 23 January, the Secretariat of Agriculture and Rural Development in **Mexico** announced a new support programme, called "Producción para el Bienestar", which will replace the previous Proagro Productivo programme. The new support program of USD 474 million aims to increase domestic grain production by directly supporting small and medium grain producers of maize, dry edible beans, bread wheat and rice, and other products.



AMIS Policy database

Visit the **AMIS Policy database** at: <http://statistics.amis-outlook.org/policy/>

The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Only AMIS participants are marked in bold.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Feb 2018 Average*	% Change	
		M/M	Y/Y
GOI	194	+ 0.2%	- 2.8%
Wheat	197	- 1.3%	+10.1%
Maize	187	+ 1.5%	+1.2%
Rice	159	- 1.4%	- 7.6%
Soybeans	177	+ 0.9%	- 9.8%

*Jan 2000=100, derived from daily export quotations

Wheat

Signs of tightening export availabilities in the Black Sea region contributed to early February gains in world values, with the IGC GOI wheat sub-Index touching its highest since mid-October. Although there was evidence that export sales from other origins were picking up, including by the US and the EU, the overall pace of shipments continued to disappoint some market participants, weighing on price sentiment as the month progressed. Although there was some price support from confirmation of historically low winter wheat seeding in the US, few perceived threats to global 2019/20 production prospects. By the end of February, the IGC GOI wheat sub-Index had receded to around seven-month lows.

Maize

World maize export prices firmed for a third successive month, the IGC GOI sub-Index up by 1.5 percent, to its highest since May 2018. Gains in US quotations were entirely linked to firmer FOB (Gulf) premiums, which rose sharply on weather-related shipping disruptions along Midwest waterways. Nominal values in Brazil were boosted by unseasonably strong demand and tightening spot supplies. While average prices in Ukraine were also slightly firmer m/m, a downtrend was observed during recent weeks, as exporters attempted to stimulate demand. Amid harvest pressure and

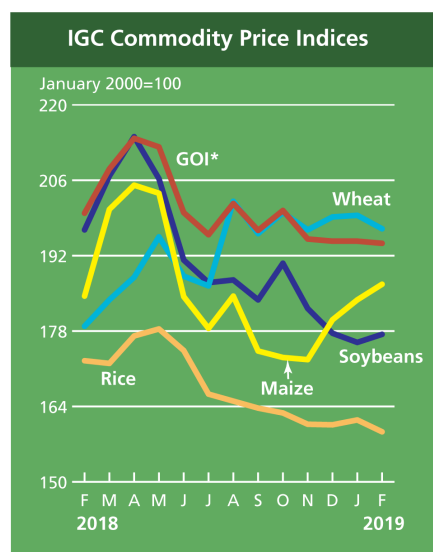
talk of very good yield potential, a weaker tone was observed in Argentina.

Rice

Against the backdrop of ample availabilities and limited activity, average rice export values were modestly lower m/m. However, there were mixed trends: while prices in Thailand generally held steady, quotations in Viet Nam weakened on sluggish demand from traditional markets and supply-side pressure. However, the downside was capped by news that the government of the Philippines had removed quantitative restrictions on imports, effective early-March. Outside of Asia, US milled rice export prices retreated on softer demand in Central America and prospects for large end-season stocks.

Soybeans

Average soybean values were marginally firmer during February, tied to increases in the US and Brazil. Gains were underpinned by worries about 2018/19 production prospects in Brazil, highlighted by downgrades to official and private forecasts, although there were signs more recently that conditions were stabilising as harvesting progressed quickly. Trade negotiations with China provided support, as did continued inland logistical challenges across the Midwest. In contrast, Up River offers in Argentina weakened slightly on quiet market activity and currency movements.



*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2018	February	199.9	178.9	184.5	172.5	196.8
	March	208.1	183.8	200.6	172.0	206.8
	April	213.8	188.0	205.1	177.1	214.1
	May	212.2	195.5	203.6	178.4	206.3
	June	200.0	188.2	184.4	174.4	191.2
	July	195.9	186.4	178.5	166.3	187.0
	August	201.7	202.1	184.5	165.0	187.5
	September	196.7	196.1	174.3	163.7	183.8
	October	200.4	200.0	173.1	162.8	190.6
	November	195.1	196.8	172.7	160.7	182.2
	December	194.7	199.2	180.1	160.6	177.6
	January	194.7	199.5	183.8	161.5	175.9
2019	February	194.3	197.0	186.7	159.3	177.4

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2017-2019)



Daily quotations of selected export prices

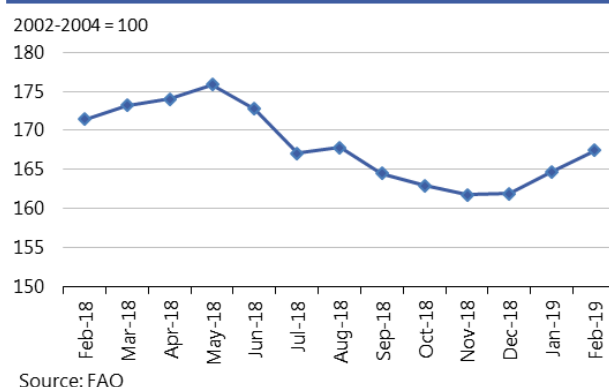
	Effective Date	Quotation (1)	Month ago (2)	Year ago (3)	% change (1) over (2)	% change (1) over (3)
..... USD/tonne						
Wheat (US No. 2, HRW)	28-Feb	222	243	255	-8.6%	-12.9%
Maize (US No. 2, Yellow)	28-Feb	167	170	172	-1.8%	-2.8%
Rice (Thai 100% B)	28-Feb	390	399	404	-2.3%	-3.5%
Soybeans (US No. 2, Yellow)	28-Feb	357	350	407	2.0%	-12.3%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	Feb 2018 Average	Monthly Change	Annual Change
Argentina	ARS	38.3	-2.6%	-93.2%
Australia	AUD	1.4	-0.1%	-10.2%
Brazil	BRL	3.7	0.5%	-14.6%
Canada	CAD	1.3	0.7%	-4.9%
China	CNY	6.7	0.8%	-6.6%
Egypt	EGP	17.5	1.6%	0.6%
EU	EUR	0.9	-0.6%	-8.7%
India	INR	71.2	-0.7%	-10.5%
Indonesia	IDR	14,025.0	1.0%	-3.1%
Japan	JPY	110.4	-1.3%	-2.4%
Kazakhstan	KZT	377.0	0.4%	-17.1%
Rep. Korea	KRW	1,121.4	-0.1%	-4.0%
Mexico	MXN	19.2	0.0%	-2.8%
Nigeria	NGN	305.9	0.3%	0.2%
Philippines	PHP	52.1	0.5%	-0.4%
Russian Fed.	RUB	65.8	1.4%	-15.8%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	13.8	0.0%	-17.0%
Thailand	THB	31.3	1.5%	0.6%
Turkey	TRY	5.3	1.4%	-39.3%
UK	GBP	0.8	0.9%	-7.3%
Ukraine	UAH	27.1	2.9%	0.0%
Viet Nam	VND	23,202.3	0.0%	-2.2%

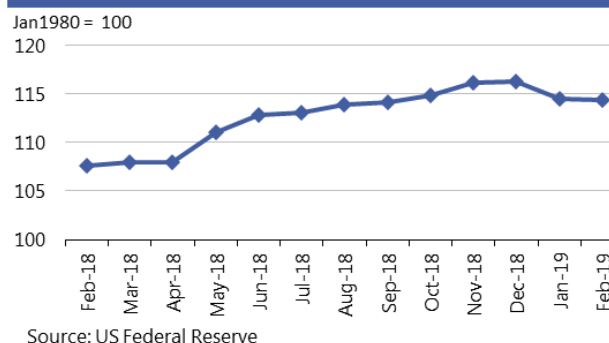
FAO Food Price Index

Feb 2018-Feb 2019



Nominal Broad Dollar Index

Feb 2018-Feb 2019



Futures markets

Futures Prices – nearby

	Feb-19 Average	% Change	
		M/M	Y/Y
Wheat	184	- 3.3%	+ 9.6%
Maize	147	- 1.3%	+ 2.2%
Rice	227	- 2.0%	- 15.6%
Soybeans	335	+0.2%	- 9.9%

Source: CME

Futures Prices

Prices for wheat, maize, and rice were lower by 3.3, 1.3, and 2.0 percent respectively m/m, while soybean prices rose negligibly. Despite a somewhat improved outlook for US exports on easing trade tensions between the US and China, wheat values fell sharply at month-end to a ten month low, as foreign competitors cut prices. Soybean prices were the biggest beneficiaries of US/China trade discussions although US export totals to China would still fall considerably short of the previous seasons, despite a reported pledge by China to import additional quantities of 2018/19 US soybeans. The February USDA World Supply and Demand Estimates, the publication of which was suspended in January due to the partial US government shutdown, were reportedly in line with trade expectations, eliciting little market reaction. Exogenous markets, specifically crude oil prices and the US Dollar index were marginally higher m/m. Wheat and maize were higher y/y by 9.6 and 2.2 percent, while soybeans and rice were lower y/y by 9.9 and 15.6 percent.

Volumes and volatility

Trade volumes for wheat, maize and soybeans rose considerably m/m, conforming to seasonal patterns, but underperformed previous year's levels. Implied volatility and historical volatility were lower m/m for all three commodities, edging close to historical lows. Both volatility gauges were lower y/y for wheat and soybeans but higher for maize.

Basis levels and transport

Domestic basis levels strengthened slightly m/m for maize and soybeans, in typical seasonal movement and improved export prospects for both commodities. In Illinois, the interior bids to local elevators were quoted at minus USD 8.5 per tonne for maize and minus USD 18 per tonne for soybeans, each under the respective March futures prices. In Iowa, the bids were minus USD 12 for maize and minus USD 32 for soybeans (under the respective futures). In soft red wheat, bids for delivery to northern mills were quoted at below March futures prices. Gulf export delivery basis levels for maize, soybeans and wheat however were much firmer m/m,

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Feb-19	Jan-19	Jan-18
Wheat	15.8	17.8	22.4
Maize	13.5	14.1	10.1
Rice	13.3	13.2	18.2
Soybeans	12.7	14.1	12.9

quoted as high as USD 26, USD 16, and USD 40 per tonne premium over respective March futures. FOB soybean price levels, which had dropped to a 25 percent price discount to Brazilian levels during October/November 2018, rose to par value following the resumption of gulf soybean purchases by China. Barge freight was unseasonably high at around USD 27 per tonne as ice break-up and flooding, which normally occur during the March and April spring thaw, impeded traffic movement. In the export market, wheat and to a greater extent soybeans continued to lag behind last year's total shipped and unshipped balances (total commitments) while the maize export balances exceeded last year's totals.

Forward curves

Forward curves remained virtually unchanged m/m, persisting in contango (upward sloping) configurations for wheat, maize and soybeans. The resumption of government publications on supply and demand estimates had little effect upon the market, as unresolved trade issues remained in the forefront.

Investment flows

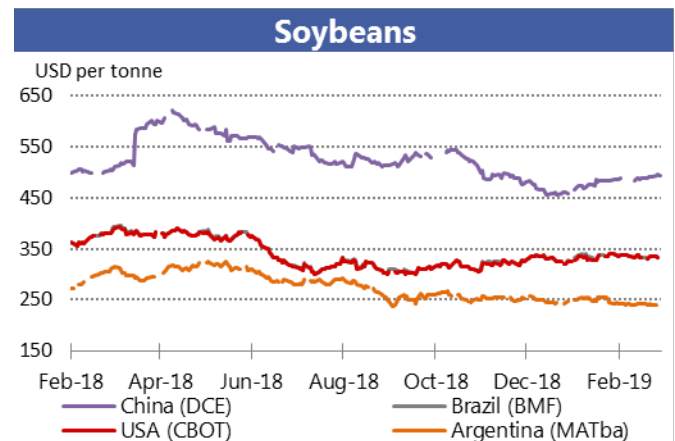
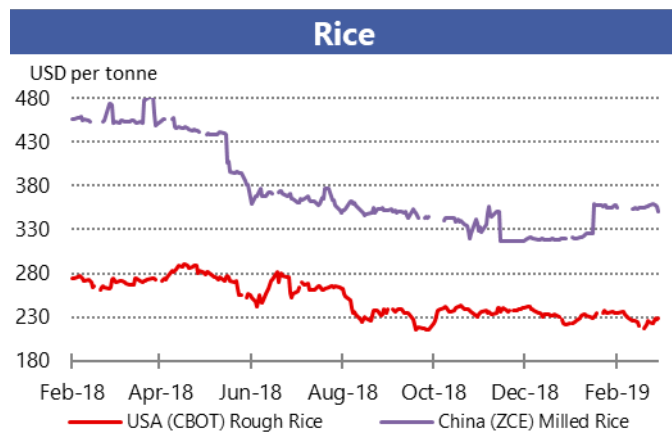
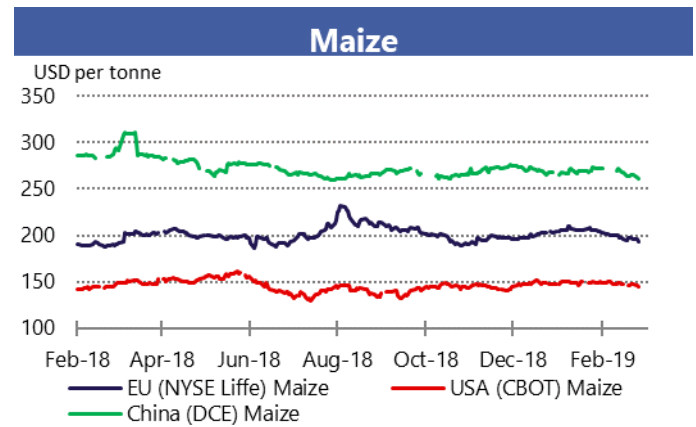
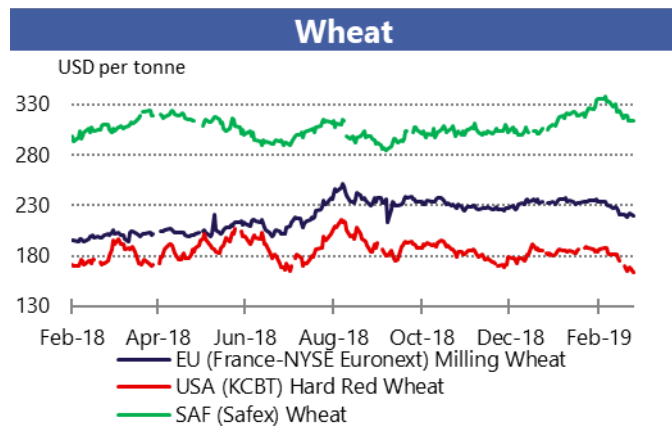
The latest update (February 12) to the Commitment of Traders report, which was suspended late December, showed negligible change in managed money's modest net short wheat and soybean positions. In maize, however, managed money reversed its approximate 90 000 contract net long to a moderate net short of 33 000 contracts. Open interest and quantities of open spread positions increased for all three commodities.



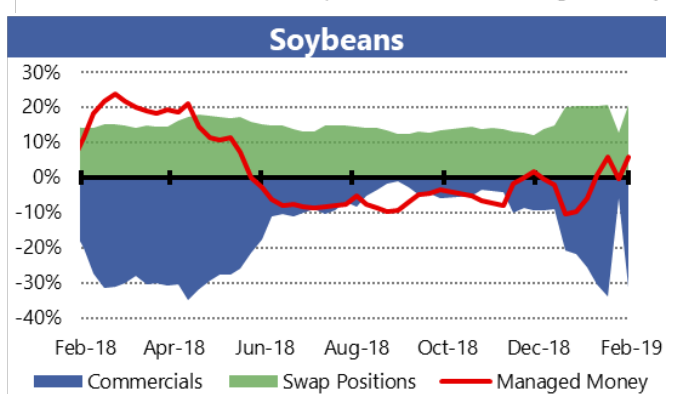
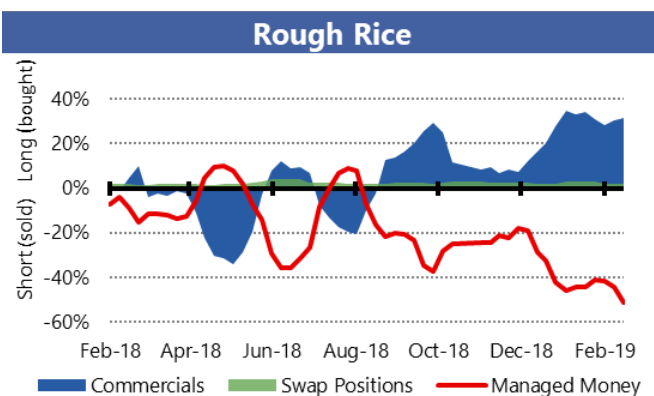
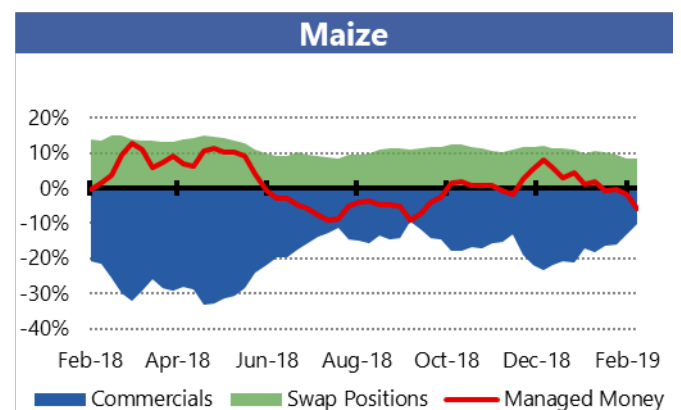
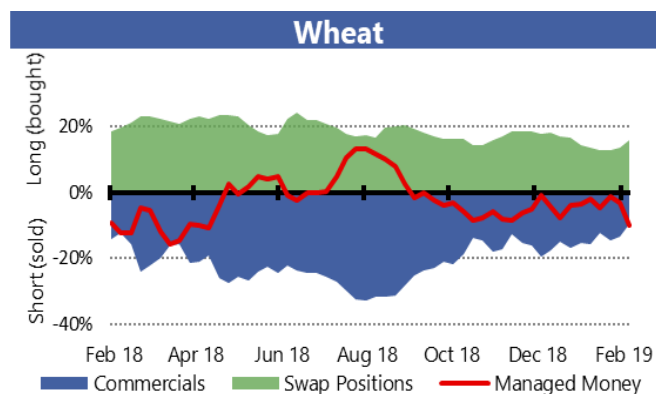
For information on technical terms please view the Glossary at the following link:
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Market indicators

Daily quotations from leading exchanges - nearby futures

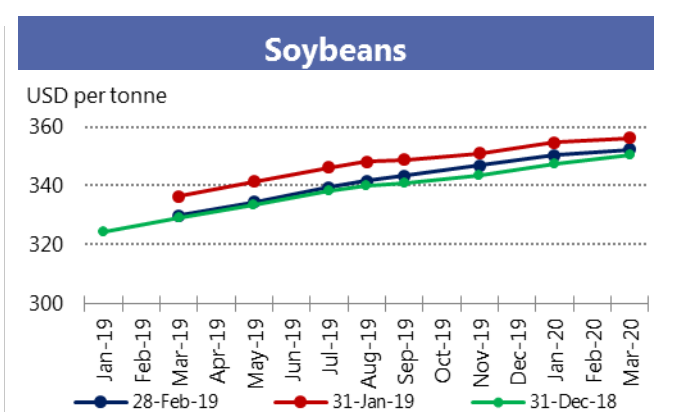
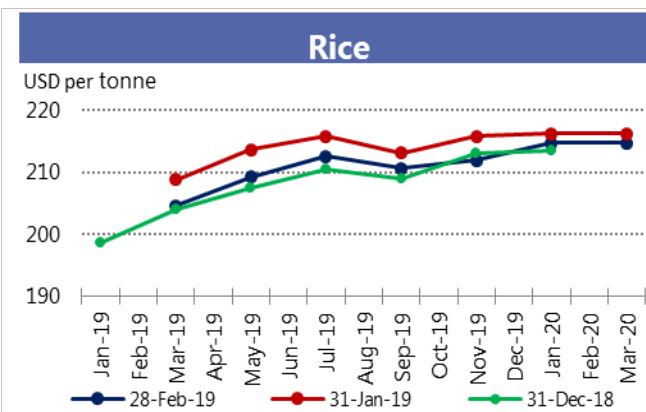
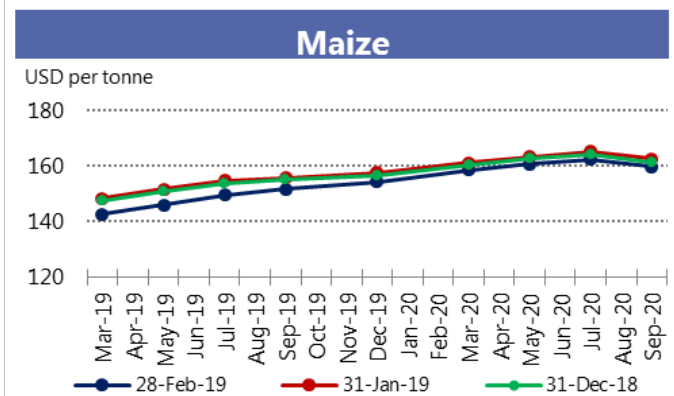
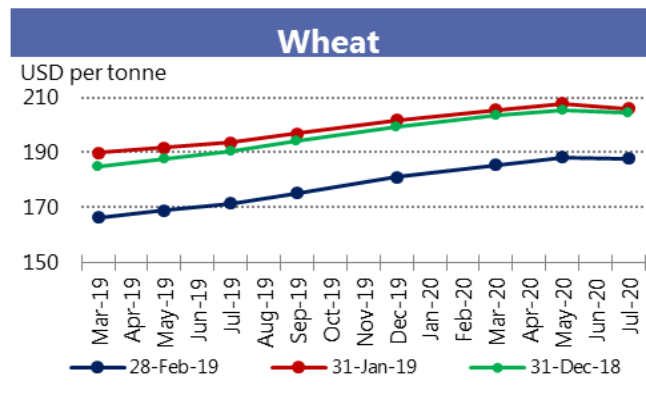


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

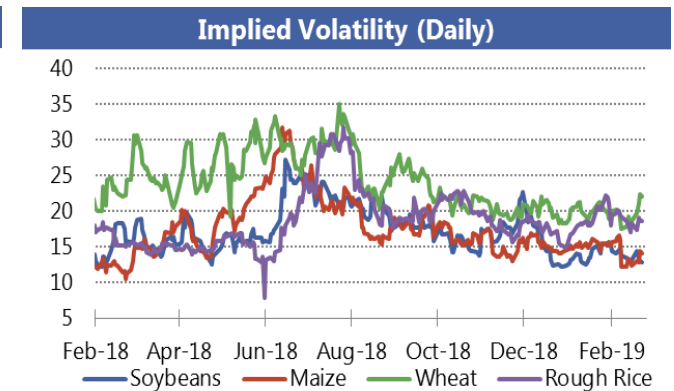
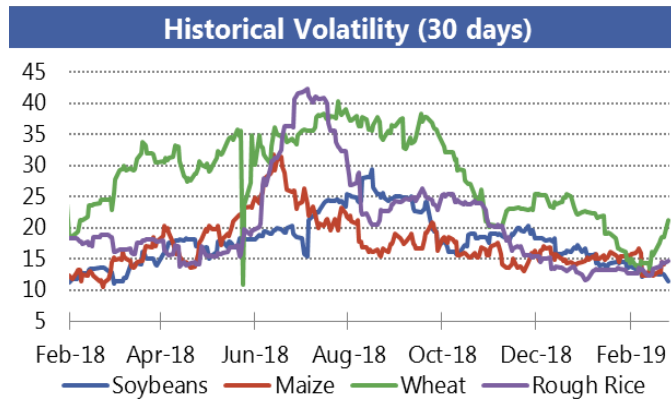


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



Monthly US ethanol update

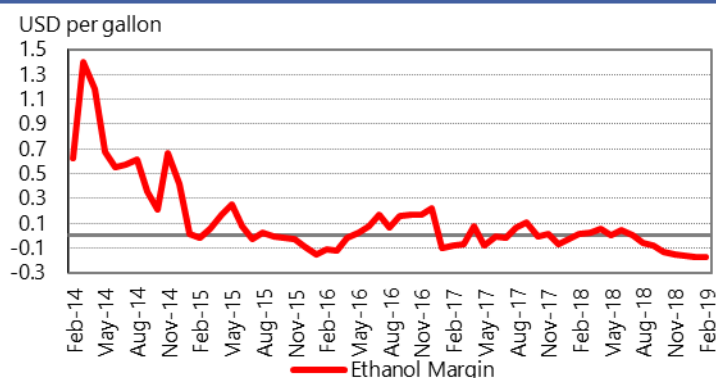
- Rising **maize prices** and falling **distillers grains prices** offset the modest gains in ethanol prices at the plant.
- As such, **ethanol production margins** remain strongly negative. This has continued over a period of several months and has put significant financial pressure on the sector.
- This decline in production margins comes even as **production** continues to run well below an annualized pace of 16 billion gallons and well below year ago levels. The industry continues to adjust to the poor economic conditions.
- **Oil prices** have been steadily rising over the last two months on OPEC supply cuts, but gains have been hampered by uncertain demand.
- **Ethanol price** remains above its pure energy equivalence value when compared to gasoline.

Spot prices	Feb	Jan	Feb
IA, NE and IL/eastern corn belt average	2019*	2019	2018
Maize price (USD per tonne)	141.39	139.74	140.52
DDGs (USD per tonne)	144.44	152.86	150.04
Ethanol price (USD per gallon)	1.24	1.20	1.35
Nearby futures prices			
CME, NYSE			
Ethanol (USD per gallon)	1.31	1.27	1.45
RBOB Gasoline (USD per gallon)	1.48	1.40	1.79
Ethanol/RBOB price ratio	88.5%	90.6%	81.2%
Ethanol margins			
IA, NE and IL/eastern corn belt Average (USD per gallon)			
Ethanol receipts	1.40	1.20	1.35
DDGs receipts	0.45	0.47	0.46
Maize costs	1.31	1.29	1.25
Other costs	0.55	0.55	0.55
Production margin	-0.17	-0.17	0.01
Ethanol production			
(million gallons)			
Monthly production total	1 203	1 331	1 240
Annualized production pace	15 676	15 669	16 162

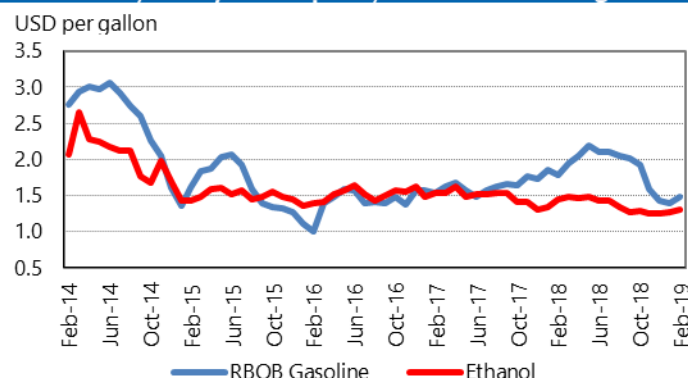
Based on USDA data and private sources

* Estimated using available weekly data to date.

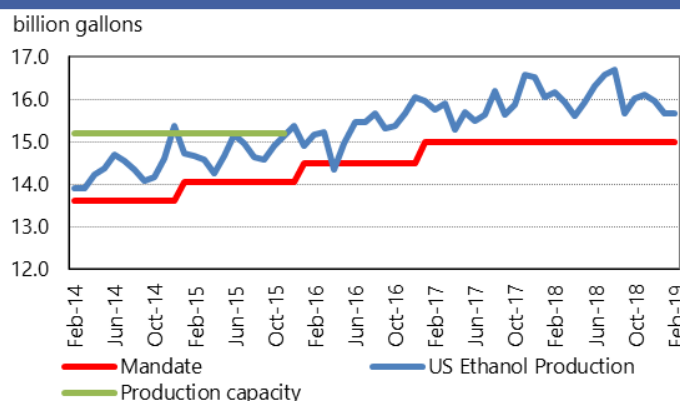
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

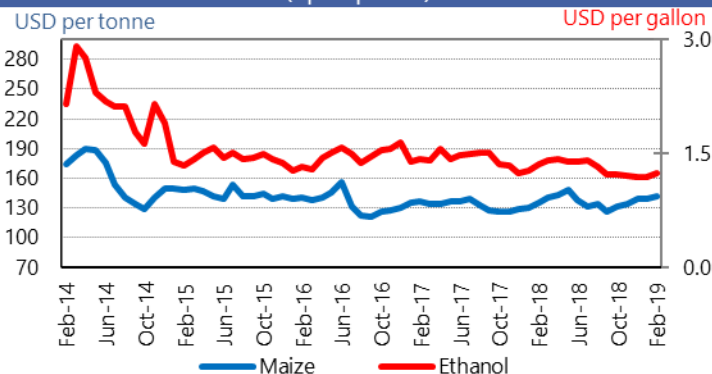


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

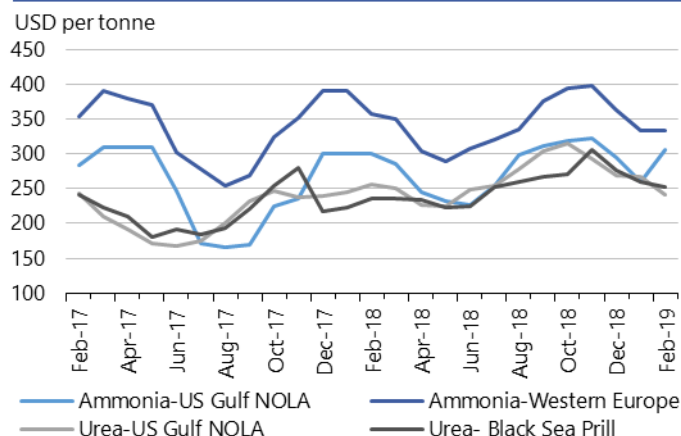
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

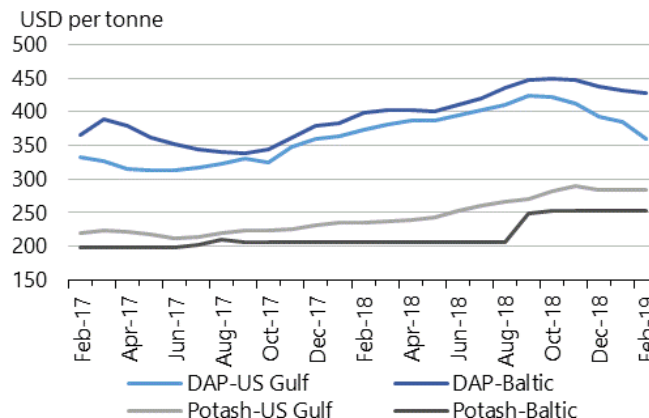
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

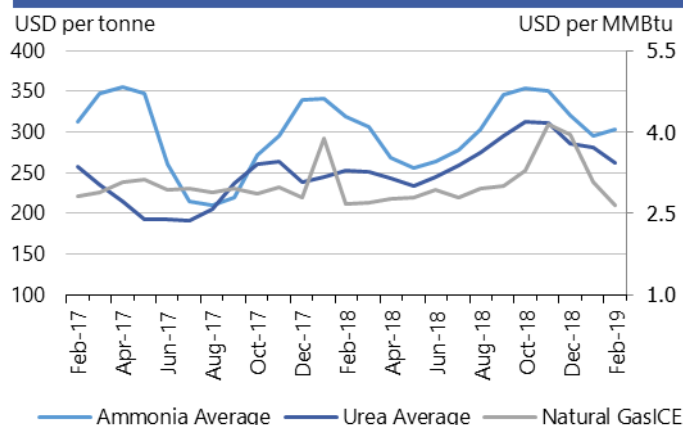
Ammonia and Urea
(Spot prices)



Potash and Phosphate
(Spot prices)



Ammonia Average, Urea Average and Natural Gas
(Spot prices)



- **Natural gas** prices decreased for the third consecutive month largely due to milder winter in the US.
- **Ammonia** prices started to recover, particularly in the US Gulf, in anticipation of the spring application season in the northern hemisphere.
- **Urea** prices continued to decline due to a weaker demand from India and the end of the application season in Brazil.
- **DAP** prices decreased m/m due to inventory accumulation, cheaper input costs (sulphur and ammonia prices) and a slowdown in global demand.
- **Potash** prices remained stable despite announcements of price increases over the spring from producers in Canada.

	February average	February std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	305.0	-	17.8%	1.7%	322.0	226.0
Ammonia-Western Europe	332.5	2.9	-0.4%	-7.0%	398.0	289.0
Urea-US Gulf	241.3	4.3	-9.8%	-5.9%	315.8	224.0
Urea-Black Sea	252.5	5.0	-2.9%	7.4%	306.4	223.3
DAP-US Gulf	360.0	5.7	-6.4%	-3.7%	423.8	360.0
DAP-Baltic	428.8	4.8	-0.9%	7.5%	450.0	400.0
Potash-Baltic	252.0	-	0.0%	22.3%	252.0	206.0
Potash- US Gulf NOLA	284.0	-	0.0%	20.3%	289.2	238.0
Ammonia	303.1	3.1	2.8%	-4.9%	352.9	256.3
Urea	262.1	6.0	-6.5%	3.6%	312.6	234.0
Natural Gas	2.7	0.3	-13.8%	-0.7%	4.1	2.7

All prices shown are in US dollars.

Source: Own elaboration based on Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month.

Natural gas is used as major input to produce nitrogen-based fertilizers

DAP: Diammonium Phosphate.

Monthly ocean freight market update

Dry bulk freight market developments

	Feb 2019 Average*	M/M	% Change	Y/Y
Baltic Dry Index (BDI) *	626	- 41.1%		- 44.2%
<i>sub-Indices:</i>				
Capesize	736	- 59.8%		- 55.1%
Panamax	613	-40.0%		- 54.2%
Supramax	540	- 27.3%		- 37.4%
Baltic Handysize Index (BHSI)**	319	- 32.4%		- 39.8%

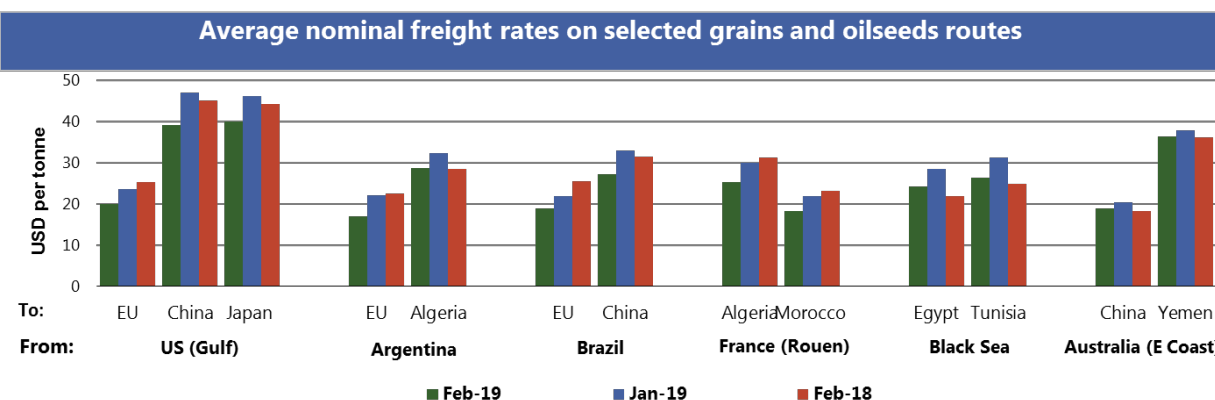
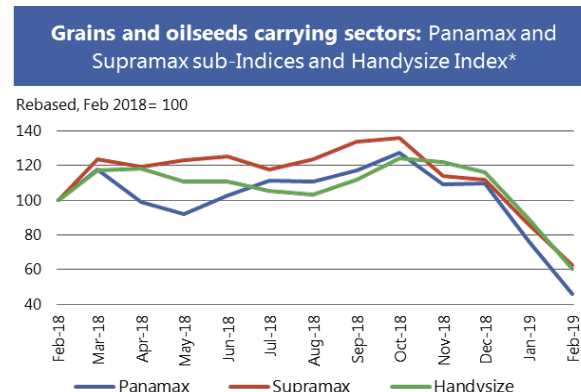
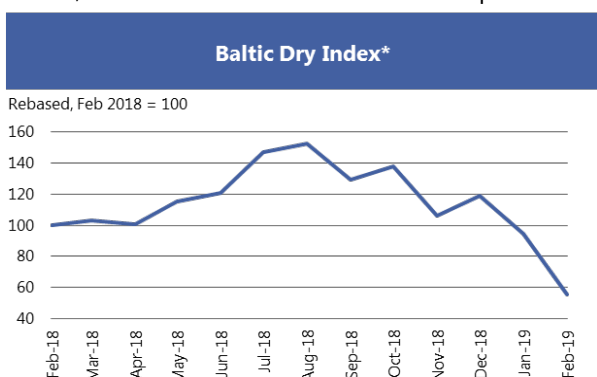
Source: Baltic Exchange.

Note: *4 January 1985 = 1000 **23 May 2006 = 1000. Baltic Handysize sub-Index excluded from the BDI from 1 March 2018

- Despite a recent recovery in the grains and oilseeds carrying sectors, average **Baltic Dry Index (BDI)** values posted a steep 41 percent monthly decline in February, dropping to their lowest since June 2016. The Index was down by almost one-half y/y, with sharp losses across all underlying segments.
- Capesize** earnings averaged 60 percent lower compared to January as the dam collapse in Brazil sparked worries about a loss in iron ore output and trade. Limited tonnage availability in the north Atlantic and strength in bunker prices supported, but news of fresh coal imports restrictions by China, including from Australia, compounded pressure recently.
- Panamax** rates retreated by 40 percent on average. Values initially dropped steeply amid dwindling spot and period interest, but advanced thereafter on firmer enquiries in

the Pacific, led by good volumes out of north Pacific ports, coupled with buoyant mineral trading in the Indian Ocean. Among reported grains/oilseeds fixtures, a 60 000 tonne cargo from Brazil (Paranagua) to China was booked at USD 27.50 per tonne, for March shipment, while a 66 000 tonne delivery from the US Gulf (Mississippi River) to the same destination was agreed at USD 36.20 per tonne.

- Average **Supramax and Handysize** earnings eased by 27 percent and 32 percent m/m, respectively. The Lunar New Year holidays in Asia and growing vessel lists initially pressured rates on all major routes, but a subsequent upturn came from stronger momentum in the Atlantic, notably for deliveries to Europe and Africa, as well as steady improvements in the Asian market.



Source: International Grains Council

*monthly average

Baltic Dry Index (BDI): A global benchmark indicator issued daily by the London-based Baltic Exchange, providing an assessment of the costs of moving major raw materials on ocean going vessels. The BDI is a composite measure, comprising sub-indices for four carrying segments, representing different vessel sizes: Capesize, Panamax, Supramax and Handysize.

Capesize: The largest vessels included in the BDI with deadweight tonnage (DWT) above 80 000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Vessels with capacity of 60 000 to 80 000 DWT, which are mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Vessels with capacity below 60 000 DWT, which account for the majority of the world's ocean going vessels. They can transport a wide variety of cargos, including grains and oilseeds.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “Markets at a glance” reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion “FAO-AMIS”). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

Production: Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season). For soybeans, the latter approach is used by all three sources.

Supply: Defined as production plus opening stocks by all three sources.

Utilization: For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

Stocks: In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2019 AMIS Market Monitor Release Dates

February 7, March 7, April 4, May 9, June 6, July 4, September 5, October 3, November 7, December 5

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